

of sales growth and the ability to see something beyond the reported earnings.

Netting a 100-bagger takes vision and tenacity and, often, a conviction in an idea that may not yet be obvious in the financials.

Pepsi

Pepsi is perhaps more typical of a 100-bagger you may uncover. It's a simple business with good margins that just grew and grew into big markets.

Pepsi is another case of a stock making the 100-bagger list in both Phelps's study and my own. In Phelps's book, the story begins with Loft Inc., which absorbed PepsiCo and rebranded itself as such in 1941. (There's a lot of interesting backstory here that would take us too far afield. But here's a bit of interesting trivia. Pepsi filed for bankruptcy twice: in 1923 and again in 1931.) According to Phelps, if you had bought the stock in 1938, your cost basis would have been 75 cents per share. That stake was worth \$427 in 1971 — a 569-bagger over 33 years.

In our study, the story picks up in 1962. "It took the New York-based soft drinks and snacks giant 28.5 years to hit 100-bagger status from 1962," Alejandro writes. "In fact, from 1962 to the late 1980s, the stock showed no signs of being a 100-bagger in the making."

But then it kicked off a huge international expansion. By 1985, Pepsi had a presence in close to 150 countries. "These include China," Alejandro writes, "which opened its doors to them that same year, as well as the Soviet Union, a decade earlier. These two nascent markets that would make Pepsico a lot of money over the next couple of decades."

Along the way, the company continued to introduce new products and expand its snack business. "In 1982," Alejandro writes, "Pepsi developed their Slice-brand, which made sodas with a small amount of fruit juice. This created a new market and thereby increasing its market share of the drinks industry."

In 1986, it got into fast-food, picking up KFC and Taco Bell. In 1989, PepsiCo acquired Britain-based Walkers Crisps and Smith Crisps, leading snack-food companies in the UK.